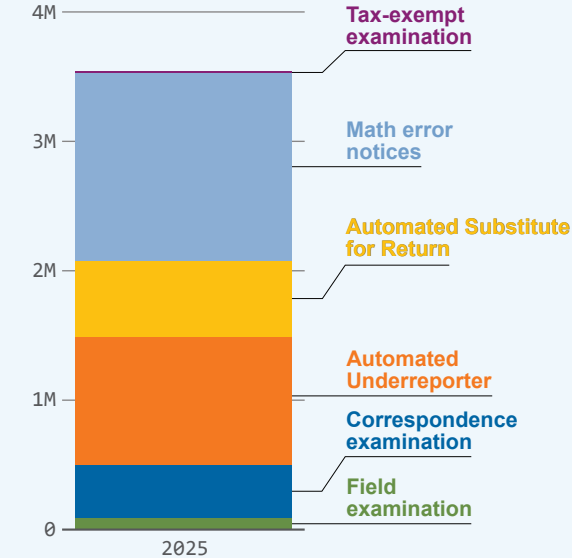


Compliance Activities, Fiscal Year 2025

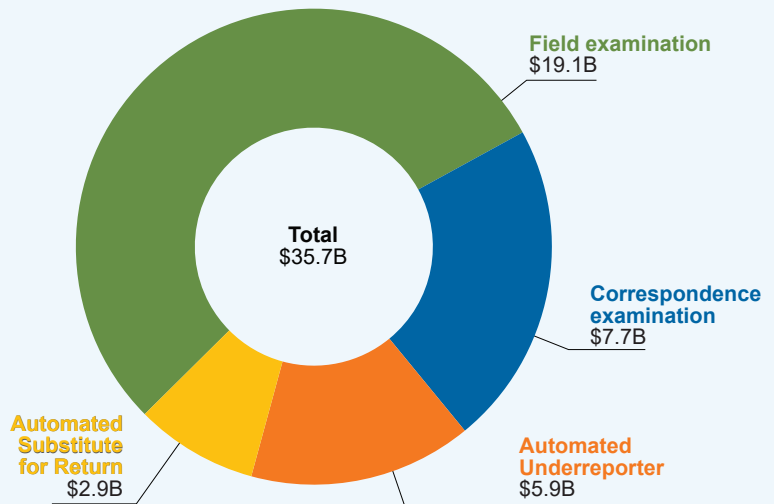
Number of activities



NOTE: Detail may not add to total due to rounding.

SOURCE: 2025 IRS Data Book Tables 3-2, 3-5, 3-8, and 3-9

Recommended additional tax and assessments



Compliance Presence

This section of the IRS *Data Book* highlights the IRS's compliance efforts. Examinations (audits) of most types of tax returns, information reporting and verification, math error notices, and criminal investigations are critical tools to determine if income, expenses, and credits are being accurately reported and to identify and resolve taxpayer errors and to identify fraud. These tools ensure the IRS has a presence across all types of taxpayers, for all income and asset levels.

For the past decade, the IRS has seen an increase in the number and complexity of returns filed paired with a decrease in resources available for examinations. The Service is constantly adapting and improving its processes to identify errors, detect fraudulent activity, and ensure resources are allocated as efficiently and effectively as possible. While the IRS accepts most

returns as filed, some are selected for examination using various methods, including random sampling and computerized screening. IRS examinations are conducted through the mail (correspondence) or face-to-face (field).

The IRS also offers programs that encourage a more proactive approach to ensuring tax compliance for large and international businesses. Tax certainty programs, including the Advance Pricing Agreement Program and the Compliance Assurance Process Program, help taxpayers improve their federal tax compliance via cooperation with the IRS prior to the filing of tax returns.

The IRS gathers independent information about income received and taxes withheld from information returns, such as Forms W-2 and 1099 filed by employers and other third parties. The

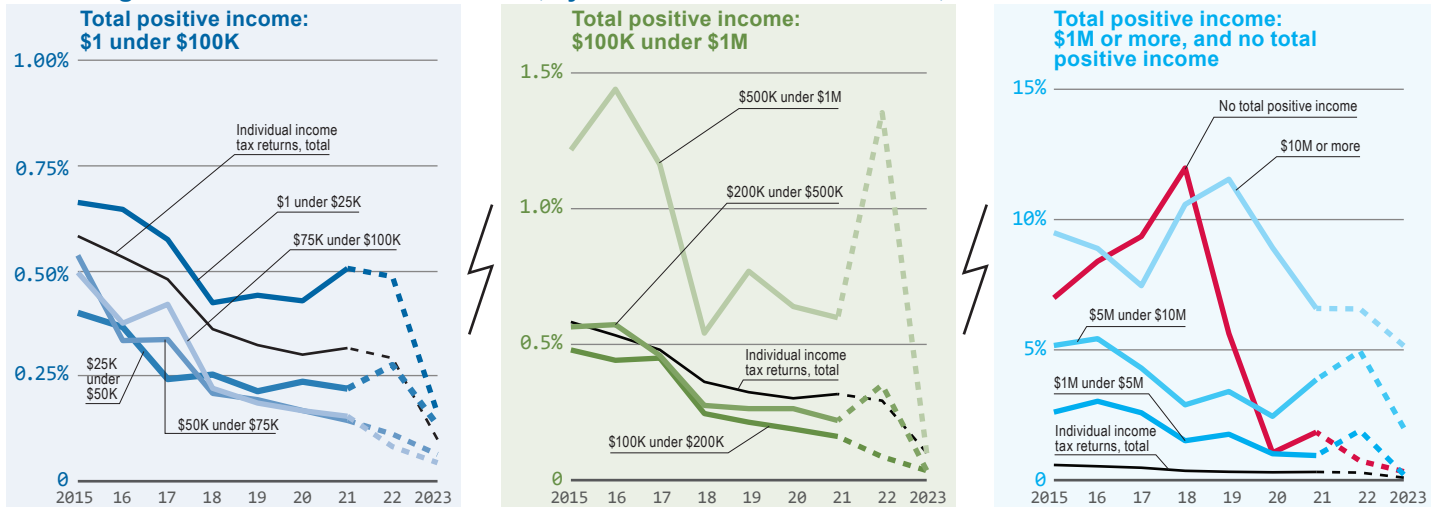
IRS uses this information to verify self-reported income and tax on returns filed by taxpayers. With its Automated Underreporter Program, the IRS matches these information returns to tax returns and contacts taxpayers to resolve discrepancies. In the Automated Substitute for Return Program, the IRS uses information returns from third parties to identify nonfilers; construct tax returns for certain nonfilers based on that third-party information; and assess tax, interest, and penalties based on the substitute returns. To further verify the accuracy of reported information, the IRS also checks for mathematical and clerical errors before refunds are paid.

IRS's Criminal Investigation function conducts investigations of alleged criminal violations of the tax code and related financial statutes, which may in turn lead to prosecution, fines, and imprisonment.

Highlights of the Data

- For all returns filed for Tax Years (TY) 2015 through 2023, the IRS has examined 0.36% of individual returns filed and 0.57% of corporation returns filed, as of the end of Fiscal Year (FY) 2025 ([Table 3-1](#)).
- The IRS has examined the returns of 7.9% of taxpayers filing individual returns reporting total positive income of \$10 million or more for TYs 2015 through 2023, as of the end of FY 2025 ([Table 3-1](#)).

Percentage of Individual Returns Examined, by Size of Total Positive Income, Tax Years 2015–2023



NOTE: Represents total returns (closed and in-process) examined for each classification, as a percentage of the total number of returns filed for the tax year for that classification. Percentages for recent tax years (dashed segments) may increase as additional examinations are opened, as these returns are still within the statute of limitations.

SOURCE: 2025 IRS Data Book Table 3-1

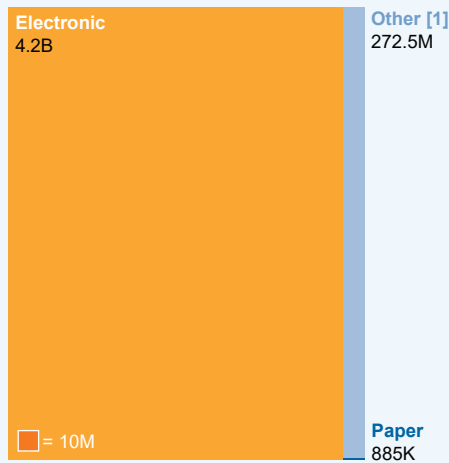
Number of Returns Examined, Fiscal Years 2021–2025



SOURCE: Selected IRS Data Books, Table 3-2

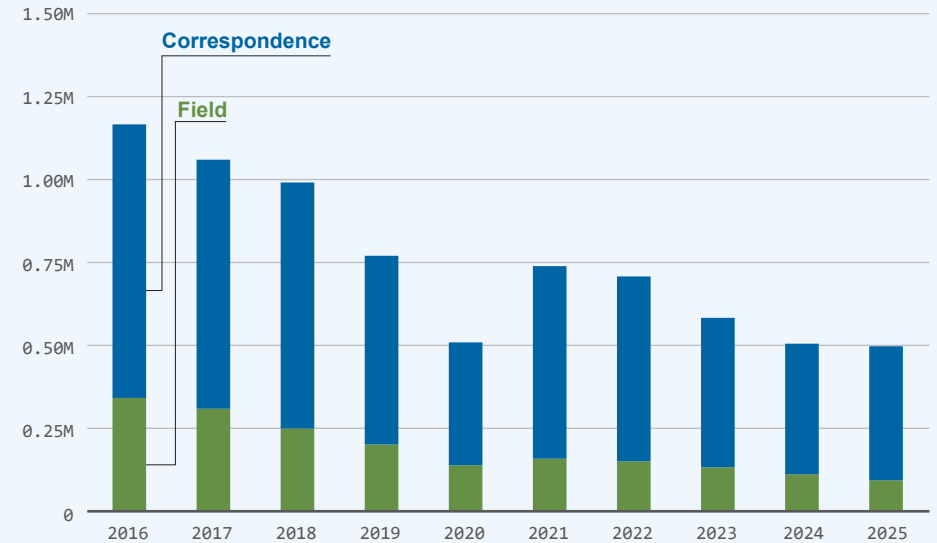
- The exam coverage rate for TY 2021 (the most recent year outside the statute of limitations period) of individual taxpayers reporting total positive income (TPI) of \$10 million or more was 6.6%. The rate for taxpayers with TPI of \$5 million–\$10 million was 3.9%, and 0.9% for those with TPI of \$1 million–\$5 million (Table 3-1).
- In FY 2025, the IRS closed 497,621 tax return audits, resulting in \$26.8 billion in recommended additional tax (Table 3-2).
- Of these closed examinations, 12,192 taxpayers, or 2.5%, did not agree with the IRS examiner's determination, resulting in an unagreed recommended additional tax of \$12.6 billion (Table 3-2).
- In FY 2025, 19.0% of exams were conducted in the field, yielding \$19.1 billion in additional recommended tax (Table 3-2).
- The remaining 81.0% of audits were conducted via correspondence, resulting in more than \$7.7 billion of additional recommended tax (Table 3-2).
- In FY 2025, 20,892 examinations protected a total of more than \$10.7 billion in refund payments, of which \$10.6 billion came from field examinations and \$104.3 million from correspondence examinations (Table 3-3).
- In FY 2025, there were 16,158 examinations resulting in refunds to the taxpayer, totaling \$10.4 billion. Of this, \$7.8 billion was refunded to corporations (Table 3-4).
- The IRS examined 7,914 tax-exempt organization, employee retirement plan, government entity, tax-exempt bond, and related taxable returns in FY 2025 (Table 3-5).
- In FY 2025, 144 Advance Pricing Agreements were executed, 79.9% of which were bilateral in nature (Table 3-6).
- A total of 119 corporate taxpayers participated in the TY 2025 Compliance Assurance Process Program during FY 2025 (Table 3-7).
- The IRS closed 987,460 cases under the Automated Underreporter Program in FY 2025, resulting in \$5.9 billion in additional assessments. The IRS closed 592,773 cases under its Automated Substitute for Return Program, resulting in \$2.9 billion in additional assessments (Table 3-8).
- The IRS received 4.5 billion third-party information returns in FY 2025; of these, 93.9% were filed electronically (Table 3-8).
- For TY 2024 individual income tax returns processed during FY 2025,

Number of Information Returns Received, by Type, Fiscal Year 2025



SOURCE: 2025 IRS Data Book Table 3-8

Number of Returns Examined, by Examination Type, Fiscal Years 2016–2025



SOURCE: Selected IRS Data Books, Table 3-2

the two most common math error types were related to Adjusted Gross/Taxable Income Amount, which made up 25.6% of total math errors, and Tax Calculation/Other Taxes, which accounted for 24.2%. The most common type of error for TY 2023 and prior-year returns processed in FY 2025 was errors related to the Recovery Rebate Credit, making up 31.8% of the total (Table 3-9).

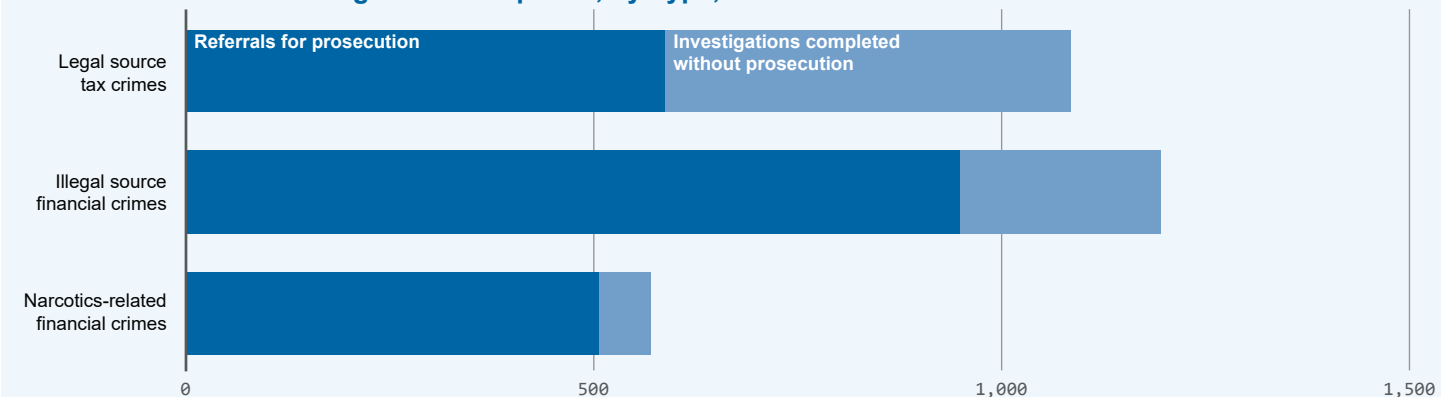
- For these TY 2024 returns, the IRS

sent 951,789 notices to taxpayers for nearly 1.2 million math errors identified. For TY 2023 and prior-year returns, 488,539 notices were sent for 587,410 math errors identified (Table 3-9).

- In FY 2025, the IRS completed 2,850 criminal investigations in three areas—1,085 legal-source tax crime cases, which involve activities, industries, and occupations that generate legitimate

income or threats to the tax system; 1,195 illegal-source financial crime cases, which relate to proceeds derived from unlawful sources such as money laundering; and 570 narcotics-related financial crime cases, which involve investigating narcotics-related tax and money-laundering crimes. These cases are often investigated in cooperation with the Justice Department and other law enforcement agencies (Table 3-10).

Number of Criminal Investigations Completed, by Type, Fiscal Year 2025



SOURCE: 2025 IRS Data Book Table 3-10

Table 3-1. Examination Coverage and Recommended Additional Tax After Examination, by Type and Size of Return, Tax Years 2015–2023

[Money amounts are in thousands of dollars]

Type and size of return	Tax Year 2023†					
	All returns filed for Tax Year 2023 [1]	Returns examined			Number of returns examined with no change [5]	Recom- mended additional tax
		Closed [2]	In process [3]	Percentage covered [4]		
	(1)	(2)	(3)	(4)	(5)	(6)
All returns, total	211,253,861	126,222	45,484	[6]	10,856	1,082,938
Individual income tax returns, total	160,934,651	119,805	39,461	0.1	10,010	788,574
Size of total positive income [7]:						
No total positive income	964,115	1,087	2,065	0.3	42	39,207
\$1 under \$25,000	39,730,822	52,457	11,522	0.2	3,847	268,377
\$25,000 under \$50,000	36,184,914	38,345	9,843	0.1	2,997	233,996
\$50,000 under \$75,000	24,596,896	11,460	4,245	0.1	742	73,362
\$75,000 under \$100,000	16,133,400	5,083	2,001	[8]	461	32,728
\$100,000 under \$200,000	28,469,184	7,421	2,796	[8]	831	53,260
\$200,000 under \$500,000	11,633,274	2,115	2,069	[8]	521	28,059
\$500,000 under \$1,000,000	1,957,595	831	1,002	0.1	222	18,263
\$1,000,000 under \$5,000,000	836,921	634	1,182	0.2	186	19,449
\$5,000,000 under \$10,000,000	58,288	220	950	2.0	94	10,445
\$10,000,000 or more	36,697	145	1,747	5.2	64	11,428
International returns [9]	332,545	7	39	[8]	3	0
Returns with earned income tax credit [10]	24,439,936	70,283	8,607	0.3	6,618	423,736
Corporation income tax returns, except Form 1120-S, total [11]	1,575,851	584	1,719	0.1	272	24,147
Returns other than Forms 1120-C and 1120-F, by size of balance sheet assets:						
No balance sheet	348,190	69	224	0.1	11	2,741
\$1 under \$250,000	614,796	166	235	0.1	43	5,751
\$250,000 under \$1,000,000	270,334	107	159	0.1	46	3,042
\$1,000,000 under \$5,000,000	189,329	61	113	0.1	23	1,220
\$5,000,000 under \$10,000,000	41,430	7	27	0.1	d	[12]
\$10,000,000 under \$50,000,000	48,540	56	254	0.6	44	1,674
\$50,000,000 under \$100,000,000	10,116	24	121	1.4	21	5,018
\$100,000,000 under \$250,000,000	8,535	24	85	1.3	18	2,531
\$250,000,000 under \$500,000,000	4,213	d	d	1.5	d	142
\$500,000,000 under \$1,000,000,000	2,937	d	d	2.4	d	0
\$1,000,000,000 under \$5,000,000,000	3,442	20	178	5.8	19	0
\$5,000,000,000 under \$20,000,000,000	1,096	21	87	9.9	20	0
\$20,000,000,000 or more	570	25	100	21.9	21	2,028
Form 1120-C returns [13]	8,390	0	d	[8]	0	0
Form 1120-F returns [14]	23,933	0	d	[8]	0	0
Partnership returns [15]	4,575,280	28	544	[8]	20	N/A
S corporation returns [16]	5,440,879	143	915	[8]	49	N/A
Estate and trust income tax returns [17]	3,091,353	d	d	[8]	0	0
Estate tax returns [18]	27,040	16	76	0.3	8	387
Gift tax returns	305,484	d	d	[8]	7	164
Employment tax returns	34,233,381	3,651	2,092	[8]	190	100,139
Excise tax returns [19]	1,402,486	1,978	562	0.2	300	169,527
Other taxable returns [20]	[6]	0	9	[6]	0	0
Other nontaxable returns [21]	[6]	0	31	[6]	0	N/A

Footnotes at end of table.

Table 3-1. Examination Coverage and Recommended Additional Tax After Examination, by Type and Size of Return, Tax Years 2015–2023—Continued

[Money amounts are in thousands of dollars]

Type and size of return	Tax Year 2022†					
	All returns filed for Tax Year 2022 [1]	Returns examined			Number of returns examined with no change [5]	Recom- mended additional tax
		Closed [2]	In process [3]	Percentage covered [4]		
(7)	(8)	(9)	(10)	(11)	(12)	
All returns, total	212,688,164	441,113	59,971	[6]	51,521	6,763,988
Individual income tax returns, total	161,666,477	421,832	50,781	0.3	47,358	5,846,307
Size of total positive income [7]:						
No total positive income	1,946,923	10,639	3,804	0.7	114	467,916
\$1 under \$25,000	42,539,044	193,082	13,728	0.5	13,769	1,958,506
\$25,000 under \$50,000	36,910,750	94,558	7,388	0.3	6,153	1,108,718
\$50,000 under \$75,000	24,185,929	23,912	3,160	0.1	1,036	404,046
\$75,000 under \$100,000	15,518,078	11,004	1,731	0.1	671	195,278
\$100,000 under \$200,000	26,782,219	19,591	3,274	0.1	1,895	423,416
\$200,000 under \$500,000	10,632,180	30,411	6,825	0.4	8,603	347,155
\$500,000 under \$1,000,000	1,875,646	21,323	4,045	1.4	8,421	228,022
\$1,000,000 under \$5,000,000	839,856	12,889	3,117	1.9	4,590	225,628
\$5,000,000 under \$10,000,000	63,842	2,257	900	4.9	1,144	103,264
\$10,000,000 or more	42,191	1,759	1,014	6.6	954	379,024
International returns [9]	329,819	407	1,795	0.7	8	5,334
Returns with earned income tax credit [10]	24,086,346	180,502	422	0.8	18,746	983,178
Corporation income tax returns, except Form 1120-S, total [11]	1,564,896	2,973	2,197	0.3	1,494	173,154
Returns other than Forms 1120-C and 1120-F, by size of balance sheet assets:						
No balance sheet	347,995	365	345	0.2	55	19,209
\$1 under \$250,000	615,493	754	366	0.2	288	22,292
\$250,000 under \$1,000,000	268,941	527	264	0.3	189	17,439
\$1,000,000 under \$5,000,000	184,353	268	136	0.2	118	11,971
\$5,000,000 under \$10,000,000	39,908	58	50	0.3	30	927
\$10,000,000 under \$50,000,000	45,877	412	298	1.5	336	4,393
\$50,000,000 under \$100,000,000	9,670	245	127	3.8	197	13,735
\$100,000,000 under \$250,000,000	8,295	232	134	4.4	196	3,648
\$250,000,000 under \$500,000,000	4,061	14	71	2.1	13	418
\$500,000,000 under \$1,000,000,000	2,824	6	44	1.8	d	24
\$1,000,000,000 under \$5,000,000,000	3,408	27	103	3.8	21	2,286
\$5,000,000,000 under \$20,000,000,000	1045	29	125	14.7	*19	42,282
\$20,000,000,000 or more	543	36	122	29.1	25	34,531
Form 1120-C returns [13]	8,796	0	d	[8]	0	0
Form 1120-F returns [14]	23,687	0	d	[8]	0	0
Partnership returns [15]	4,500,186	451	1,160	[8]	371	N/A
S corporation returns [16]	5,266,702	1,279	1,145	[8]	428	N/A
Estate and trust income tax returns [17]	3,077,105	8	63	[8]	0	512
Estate tax returns [18]	30,345	356	273	2.1	154	40,884
Gift tax returns	348,643	184	72	0.1	129	23,517
Employment tax returns	34,801,411	10,457	3,712	[8]	834	426,260
Excise tax returns [19]	1,432,399	3,448	454	0.3	748	251,962
Other taxable returns [20]	[6]	113	14	[6]	d	1,392
Other nontaxable returns [21]	[6]	12	100	[6]	d	N/A

Footnotes at end of table.

Table 3-1. Examination Coverage and Recommended Additional Tax After Examination, by Type and Size of Return, Tax Years 2015–2023—Continued

[Money amounts are in thousands of dollars]

Type and size of return	Tax Year 2021					
	All returns filed for Tax Year 2021 [1]	Returns examined			Number of returns examined with no change [5]	Recom- mended additional tax
		Closed [2]	In process [3]	Percentage covered [4]		
	(13)	(14)	(15)	(16)	(17)	(18)
All returns, total	212,127,659	544,417	18,191	[6]	77,722	9,310,125
Individual income tax returns, total	161,206,833	498,386	11,989	0.3	65,979	6,970,351
Size of total positive income [7]:						
No total positive income	2,931,717	51,677	2,417	1.8	947	1,888,361
\$1 under \$25,000	44,983,091	225,429	2,077	0.5	34,224	2,162,318
\$25,000 under \$50,000	37,679,393	81,804	1,101	0.2	10,074	680,207
\$50,000 under \$75,000	23,132,910	34,343	557	0.2	3,407	296,177
\$75,000 under \$100,000	14,828,621	22,545	375	0.2	2,227	203,838
\$100,000 under \$200,000	24,900,466	39,391	678	0.2	4,697	373,974
\$200,000 under \$500,000	9,597,600	20,305	757	0.2	4,269	256,019
\$500,000 under \$1,000,000	1,779,838	9,858	787	0.6	2,615	168,021
\$1,000,000 under \$5,000,000	867,592	6,777	1,397	0.9	1,416	290,958
\$5,000,000 under \$10,000,000	71,862	2,317	454	3.9	919	169,622
\$10,000,000 or more	51,250	2,680	695	6.6	1,151	469,619
International returns [9]	382,493	1,260	694	0.5	33	11,237
Returns with earned income tax credit [10]	32,216,183	223,959	164	0.7	42,051	1,242,885
Corporation income tax returns, except Form 1120-S, total [11]	1,557,525	4,929	1,325	0.4	1,830	559,726
Returns other than Forms 1120-C and 1120-F, by size of balance sheet assets:						
No balance sheet	331,115	560	198	0.2	78	45,847
\$1 under \$250,000	632,014	1,290	123	0.2	351	45,570
\$250,000 under \$1,000,000	278,878	1,305	109	0.5	440	44,673
\$1,000,000 under \$5,000,000	176,971	731	109	0.5	347	34,038
\$5,000,000 under \$10,000,000	37,760	176	58	0.6	90	11,127
\$10,000,000 under \$50,000,000	42,316	323	126	1.1	187	19,947
\$50,000,000 under \$100,000,000	8,835	158	71	2.6	96	12,595
\$100,000,000 under \$250,000,000	7,394	175	85	3.5	111	7,172
\$250,000,000 under \$500,000,000	3,729	18	23	1.1	10	1,582
\$500,000,000 under \$1,000,000,000	2,448	23	34	2.3	15	1,537
\$1,000,000,000 under \$5,000,000,000	2,973	59	109	5.7	42	49,796
\$5,000,000,000 under \$20,000,000,000	932	53	119	18.5	31	68,924
\$20,000,000,000 or more	512	44	140	35.9	29	215,674
Form 1120-C returns [13]	8,956	d	d	[8]	d	80
Form 1120-F returns [14]	22,692	d	d	0.1	d	1,163
Partnership returns [15]	4,467,584	3,845	1,403	0.1	3,405	N/A
S corporation returns [16]	5,120,552	5,663	835	0.1	2,745	N/A
Estate and trust income tax returns [17]	3,060,773	77	114	[8]	33	100,676
Estate tax returns [18]	34,367	856	48	2.6	288	304,566
Gift tax returns	448,155	486	49	0.1	277	112,746
Employment tax returns	34,798,162	25,097	2,013	0.1	1,792	1,076,429
Excise tax returns [19]	1,433,708	4,837	355	0.4	1,257	183,724
Other taxable returns [20]	[6]	214	11	[6]	108	1,906
Other nontaxable returns [21]	[6]	27	49	[6]	8	N/A

Footnotes at end of table.

Table 3-1. Examination Coverage and Recommended Additional Tax After Examination, by Type and Size of Return, Tax Years 2015–2023—Continued

[Money amounts are in thousands of dollars]

Type and size of return	Tax Year 2020					
	All returns filed for Tax Year 2020 [1]	Returns examined			Number of returns examined with no change [5]	Recom- mended additional tax
		Closed [2]	In process [3]	Percentage covered [4]		
	(19)	(20)	(21)	(22)	(23)	(24)
All returns, total	208,076,471	538,002	10,143	[6]	80,009	10,203,545
Individual income tax returns, total	164,511,483	488,468	6,646	0.3	69,345	5,555,769
Size of total positive income [7]:						
No total positive income	3,631,912	36,512	1,721	1.1	632	2,056,503
\$1 under \$25,000	49,787,775	213,022	316	0.4	36,957	1,102,343
\$25,000 under \$50,000	39,516,857	93,166	276	0.2	12,534	494,223
\$50,000 under \$75,000	23,041,847	38,600	158	0.2	3,570	214,390
\$75,000 under \$100,000	14,726,736	24,545	164	0.2	1,829	159,514
\$100,000 under \$200,000	23,403,399	43,662	345	0.2	3,929	315,655
\$200,000 under \$500,000	8,165,629	20,791	709	0.3	5,163	208,595
\$500,000 under \$1,000,000	1,385,407	8,104	751	0.6	2,020	152,120
\$1,000,000 under \$5,000,000	622,329	5,198	1,114	1.0	1,221	223,020
\$5,000,000 under \$10,000,000	46,254	923	210	2.4	311	87,502
\$10,000,000 or more	30,646	2,410	323	8.9	1,152	529,840
International returns [9]	152,692	1,535	559	1.4	27	12,063
Returns with earned income tax credit [10]	26,025,709	247,930	49	1.0	48,167	1,205,551
Corporation income tax returns, except Form 1120-S, total [11]	1,498,819	9,186	897	0.7	3,504	2,226,126
Returns other than Forms 1120-C and 1120-F, by size of balance sheet assets:						
No balance sheet	297,812	1,200	142	0.5	227	80,545
\$1 under \$250,000	630,817	*3,073	*316	0.5	1,262	92,576
\$250,000 under \$1,000,000	269,608	2,826	70	1.1	1,209	80,300
\$1,000,000 under \$5,000,000	171,930	877	64	0.5	390	56,383
\$5,000,000 under \$10,000,000	35,656	157	39	0.5	44	31,485
\$10,000,000 under \$50,000,000	38,451	203	47	0.7	68	863,704
\$50,000,000 under \$100,000,000	7,931	*90	*29	1.5	*40	12,860
\$100,000,000 under \$250,000,000	6,506	*78	*39	1.8	55	11,416
\$250,000,000 under \$500,000,000	3,276	*22	*42	2.0	24	359
\$500,000,000 under \$1,000,000,000	2,243	*30	*49	3.6	26	67,709
\$1,000,000,000 under \$5,000,000,000	2,498	139	106	9.8	59	155,892
\$5,000,000,000 under \$20,000,000,000	824	91	96	22.7	47	254,312
\$20,000,000,000 or more	451	*41	*151	43.5	37	516,560
Form 1120-C returns [13]	9,276	d	d	[8]	0	5
Form 1120-F returns [14]	21,540	31	18	0.2	*9	2,022
Partnership returns [15]	4,645,903	2,150	955	0.1	1,793	N/A
S corporation returns [16]	4,892,722	3,183	406	0.1	1,026	N/A
Estate and trust income tax returns [17]	3,020,968	129	75	[8]	44	35,777
Estate tax returns [18]	33,003	1,118	7	3.4	312	1,281,752
Gift tax returns	253,425	706	24	0.3	403	76,612
Employment tax returns	27,891,847	28,563	885	0.1	2,641	778,564
Excise tax returns [19]	1,328,301	4,411	215	0.3	923	241,915
Other taxable returns [20]	[6]	*33	*9	[6]	11	7,029
Other nontaxable returns [21]	[6]	*20	*60	[6]	7	N/A

Footnotes at end of table.

Table 3-1. Examination Coverage and Recommended Additional Tax After Examination, by Type and Size of Return, Tax Years 2015–2023—Continued

[Money amounts are in thousands of dollars]

Type and size of return	Tax Year 2019					
	All returns filed for Tax Year 2019 [1]	Returns examined			Number of returns examined with no change [5]	Recom- mended additional tax
		Closed [2]	In process [3]	Percentage covered [4]		
(25)	(26)	(27)	(28)	(29)	(30)	
All returns, total	205,411,081	558,712	9,287	[6]	68,335	12,010,946
Individual income tax returns, total	157,951,815	504,465	6,583	0.3	57,449	6,171,964
Size of total positive income [7]:						
No total positive income	822,945	44,905	1,382	5.6	577	2,411,129
\$1 under \$25,000	49,276,854	217,545	174	0.4	21,597	1,237,274
\$25,000 under \$50,000	37,980,961	81,014	120	0.2	8,586	465,644
\$50,000 under \$75,000	22,635,798	42,298	112	0.2	5,264	218,510
\$75,000 under \$100,000	14,507,318	26,815	109	0.2	2,596	171,541
\$100,000 under \$200,000	22,850,934	48,376	339	0.2	6,728	350,757
\$200,000 under \$500,000	7,784,215	19,621	839	0.3	5,088	234,068
\$500,000 under \$1,000,000	1,298,420	9,012	973	0.8	2,798	165,067
\$1,000,000 under \$5,000,000	574,713	8,806	1,307	1.8	2,783	333,542
\$5,000,000 under \$10,000,000	40,191	1,130	238	3.4	329	116,886
\$10,000,000 or more	24,457	2,541	283	11.5	1,091	457,156
International returns [9]	155,009	2,402	707	2.0	*11	10,391
Returns with earned income tax credit [10]	26,738,391	211,306	33	0.8	23,174	1,035,698
Corporation income tax returns, except Form 1120-S, total [11]	1,523,761	6,263	748	0.5	2,215	2,635,437
Returns other than Forms 1120-C and 1120-F, by size of balance sheet assets:						
No balance sheet	306,698	707	118	0.3	130	70,063
\$1 under \$250,000	666,383	1,397	38	0.2	*465	49,140
\$250,000 under \$1,000,000	263,681	*1,315	*76	0.5	*529	48,899
\$1,000,000 under \$5,000,000	162,802	815	71	0.5	*290	50,557
\$5,000,000 under \$10,000,000	33,772	*247	*69	0.9	58	33,916
\$10,000,000 under \$50,000,000	36,409	583	37	1.7	265	54,675
\$50,000,000 under \$100,000,000	7,549	254	9	3.5	127	60,629
\$100,000,000 under \$250,000,000	6,426	*225	*33	4.1	115	25,053
\$250,000,000 under \$500,000,000	3,304	*52	*26	2.4	27	2,319
\$500,000,000 under \$1,000,000,000	2,245	90	29	5.3	25	26,084
\$1,000,000,000 under \$5,000,000,000	2,701	185	93	10.3	62	113,990
\$5,000,000,000 under \$20,000,000,000	867	141	101	27.9	61	694,409
\$20,000,000,000 or more	472	104	128	49.2	40	1,394,808
Form 1120-C returns [13]	9,415	d	d	[8]	d	485
Form 1120-F returns [14]	21,037	42	17	0.3	*11	10,408
Partnership returns [15]	4,152,992	2,546	860	0.1	1,849	N/A
S corporation returns [16]	4,940,351	4,649	309	0.1	1,763	N/A
Estate and trust income tax returns [17]	3,067,792	181	101	[8]	40	30,864
Estate tax returns [18]	26,750	1,310	6	4.9	*418	1,942,379
Gift tax returns	248,821	368	6	0.2	168	148,951
Employment tax returns	32,174,998	32,587	514	0.1	2,919	838,565
Excise tax returns [19]	1,323,801	5,927	127	0.5	1,329	239,445
Other taxable returns [20]	[6]	379	5	[6]	170	3,342
Other nontaxable returns [21]	[6]	37	28	[6]	*11	N/A

Footnotes at end of table.

Table 3-1. Examination Coverage and Recommended Additional Tax After Examination, by Type and Size of Return, Tax Years 2015–2023—Continued

[Money amounts are in thousands of dollars]

Type and size of return	Tax Year 2018					
	All returns filed for Tax Year 2018 [1]	Returns examined			Number of returns examined with no change [5]	Recom- mended additional tax
		Closed [2]	In process [3]	Percentage covered [4]		
	(31)	(32)	(33)	(34)	(35)	(36)
All returns, total	200,603,266	615,253	9,138	[6]	73,390	18,400,400
Individual income tax returns, total	153,927,628	549,390	7,018	0.4	61,962	9,041,569
Size of total positive income [7]:						
No total positive income	688,753	80,996	1,476	12.0	734	5,276,860
\$1 under \$25,000	49,364,340	209,243	103	0.4	25,971	982,683
\$25,000 under \$50,000	36,664,872	92,743	123	0.3	11,813	479,767
\$50,000 under \$75,000	21,730,391	46,604	109	0.2	*5,543	258,954
\$75,000 under \$100,000	13,988,214	30,816	87	0.2	*3,242	206,981
\$100,000 under \$200,000	22,077,272	53,795	325	0.2	6,769	406,575
\$200,000 under \$500,000	7,377,133	19,183	1,118	0.3	3,904	261,122
\$500,000 under \$1,000,000	1,249,264	5,380	1,378	0.5	1,093	135,780
\$1,000,000 under \$5,000,000	566,107	6,797	1,763	1.5	1,678	403,811
\$5,000,000 under \$10,000,000	41,434	*950	247	2.9	217	124,786
\$10,000,000 or more	26,517	2,517	289	10.6	986	501,621
International returns [9]	153,331	*355	*12	0.2	10	2,628
Returns with earned income tax credit [10]	26,492,486	243,179	37	0.9	*31,550	1,107,956
Corporation income tax returns, except Form 1120-S, total [11]	1,555,943	8,528	593	0.6	2,886	6,347,565
Returns other than Forms 1120-C and 1120-F, by size of balance sheet assets:						
No balance sheet	295,294	933	90	0.3	141	90,215
\$1 under \$250,000	709,793	*1,513	*61	0.2	*491	56,141
\$250,000 under \$1,000,000	270,301	*1,684	*50	0.6	*635	57,693
\$1,000,000 under \$5,000,000	161,855	*1,319	*85	0.9	*500	53,062
\$5,000,000 under \$10,000,000	32,116	*251	*50	0.9	59	55,682
\$10,000,000 under \$50,000,000	34,428	*810	*67	2.6	362	80,386
\$50,000,000 under \$100,000,000	7,033	*378	*18	5.7	*188	35,272
\$100,000,000 under \$250,000,000	5,993	*316	*40	6.0	*164	43,749
\$250,000,000 under \$500,000,000	3,116	151	14	5.3	57	13,941
\$500,000,000 under \$1,000,000,000	2,161	149	21	7.9	41	76,097
\$1,000,000,000 under \$5,000,000,000	2,537	350	74	16.7	104	340,026
\$5,000,000,000 under \$20,000,000,000	815	213	66	34.2	*51	372,411
\$20,000,000,000 or more	451	171	111	62.5	*31	5,038,594
Form 1120-C returns [13]	9,513	d	d	0.1	d	241
Form 1120-F returns [14]	20,537	*79	*22	0.5	*37	34,055
Partnership returns [15]	4,010,200	2,079	695	0.1	1,289	N/A
S corporation returns [16]	4,874,996	5,488	272	0.1	1,730	N/A
Estate and trust income tax returns [17]	3,086,737	272	105	[8]	59	13,314
Estate tax returns [18]	25,254	*1,153	*10	4.6	262	896,476
Gift tax returns	249,936	962	4	0.4	560	857,043
Employment tax returns	31,569,807	40,305	370	0.1	3,016	1,076,085
Excise tax returns [19]	1,302,765	6,837	60	0.5	1,593	156,142
Other taxable returns [20]	[6]	*158	*6	[6]	*18	12,206
Other nontaxable returns [21]	[6]	55	18	[6]	*11	N/A

Footnotes at end of table.

Table 3-1. Examination Coverage and Recommended Additional Tax After Examination, by Type and Size of Return, Tax Years 2015–2023—Continued

[Money amounts are in thousands of dollars]

Type and size of return	Tax Year 2017					
	All returns filed for Tax Year 2017 [1]	Returns examined			Number of returns examined with no change [5]	Recom- mended additional tax
		Closed [2]	In process [3]	Percentage covered [4]		
	(37)	(38)	(39)	(40)	(41)	(42)
All returns, total	198,945,685	798,181	14,963	[6]	98,436	18,335,933
Individual income tax returns, total	153,062,634	721,464	12,955	0.5	84,898	8,684,440
Size of total positive income [7]:						
No total positive income	691,967	64,075	637	9.4	702	3,573,251
\$1 under \$25,000	51,853,559	297,528	116	0.6	34,000	1,399,477
\$25,000 under \$50,000	36,111,731	87,533	123	0.2	10,784	463,781
\$50,000 under \$75,000	21,252,437	71,432	131	0.3	7,946	344,834
\$75,000 under \$100,000	13,630,981	57,179	124	0.4	6,179	309,195
\$100,000 under \$200,000	20,929,068	93,488	507	0.4	15,135	668,948
\$200,000 under \$500,000	6,721,305	28,258	2,598	0.5	5,206	423,722
\$500,000 under \$1,000,000	1,140,173	9,392	3,853	1.2	2,093	239,938
\$1,000,000 under \$5,000,000	511,640	9,156	4,065	2.6	2,204	552,682
\$5,000,000 under \$10,000,000	36,895	1,152	434	4.3	270	109,399
\$10,000,000 or more	23,475	1,384	367	7.5	330	594,241
International returns [9]	159,403	887	0	0.6	49	4,973
Returns with earned income tax credit [10]	27,030,382	*283,855	*37	1.1	*35,712	1,261,940
Corporation income tax returns, except Form 1120-S, total [11]	1,593,607	9,985	526	0.7	3,455	6,914,544
Returns other than Forms 1120-C and 1120-F, by size of balance sheet assets:						
No balance sheet	292,916	1,180	73	0.4	*137	180,804
\$1 under \$250,000	749,689	1,554	72	0.2	*361	94,628
\$250,000 under \$1,000,000	273,141	1,655	51	0.6	*546	102,243
\$1,000,000 under \$5,000,000	162,403	1,233	25	0.8	*447	92,353
\$5,000,000 under \$10,000,000	30,729	*264	*11	0.9	*107	76,817
\$10,000,000 under \$50,000,000	33,032	1,296	23	4.0	*589	148,859
\$50,000,000 under \$100,000,000	6,814	*622	*13	9.3	*356	45,915
\$100,000,000 under \$250,000,000	5,881	*568	*17	10.0	*319	113,973
\$250,000,000 under \$500,000,000	3,100	284	19	9.8	140	27,856
\$500,000,000 under \$1,000,000,000	2,168	269	22	13.4	104	57,834
\$1,000,000,000 under \$5,000,000,000	2,492	446	64	20.5	153	585,336
\$5,000,000,000 under \$20,000,000,000	819	253	62	38.5	*62	730,521
\$20,000,000,000 or more	430	176	100	64.2	44	4,619,541
Form 1120-C returns [13]	9,402	*17	*0	0.2	d	15,242
Form 1120-F returns [14]	20,591	*122	*20	0.7	*62	22,621
Partnership returns [15]	3,905,335	4,290	650	0.1	1,661	N/A
S corporation returns [16]	4,725,684	7,596	268	0.2	2,331	N/A
Estate and trust income tax returns [17]	3,090,259	565	149	[8]	103	11,685
Estate tax returns [18]	32,658	*2,093	*3	6.4	*444	1,265,165
Gift tax returns	235,893	605	7	0.3	301	233,540
Employment tax returns	31,031,897	42,948	270	0.1	3,070	1,054,006
Excise tax returns [19]	1,267,718	8,111	39	0.6	2,022	167,873
Other taxable returns [20]	[6]	176	d	[6]	58	4,679
Other nontaxable returns [21]	[6]	*310	*101	[6]	*89	N/A

Footnotes at end of table.

Table 3-1. Examination Coverage and Recommended Additional Tax After Examination, by Type and Size of Return, Tax Years 2015–2023—Continued

[Money amounts are in thousands of dollars]

Type and size of return	Tax Year 2016					
	All returns filed for Tax Year 2016 [1]	Returns examined			Number of returns examined with no change [5]	Recom- mended additional tax
		Closed [2]	In process [3]	Percentage covered [4]		
	(43)	(44)	(45)	(46)	(47)	(48)
All returns, total	196,088,058	882,100	13,149	[6]	99,830	24,876,243
Individual income tax returns, total	150,447,029	789,900	11,360	0.5	80,223	8,418,813
Size of total positive income [7]:						
No total positive income	677,256	56,434	415	8.4	610	2,709,551
\$1 under \$25,000	52,677,494	*339,952	*161	0.6	33,581	1,602,069
\$25,000 under \$50,000	35,816,063	131,068	105	0.4	*13,213	704,565
\$50,000 under \$75,000	20,578,233	*68,611	*152	0.3	*5,868	369,255
\$75,000 under \$100,000	13,199,129	*49,437	*117	0.4	*4,636	289,793
\$100,000 under \$200,000	19,755,417	86,714	388	0.4	9,367	625,247
\$200,000 under \$500,000	6,051,639	32,339	2,299	0.6	7,220	474,047
\$500,000 under \$1,000,000	1,017,244	11,197	3,442	1.4	2,765	282,873
\$1,000,000 under \$5,000,000	449,500	9,937	3,677	3.0	2,293	561,316
\$5,000,000 under \$10,000,000	31,232	1,304	391	5.4	320	292,221
\$10,000,000 or more	18,947	1,351	333	8.9	321	502,699
International returns [9]	174,875	1,434	0	0.8	22	5,178
Returns with earned income tax credit [10]	27,382,904	330,442	11	1.2	*35,396	1,494,886
Corporation income tax returns, except Form 1120-S, total [11]	1,590,314	14,092	410	0.9	4,859	13,584,870
Returns other than Forms 1120-C and 1120-F, by size of balance sheet assets:						
No balance sheet	293,042	*1,706	*84	0.6	*267	198,865
\$1 under \$250,000	749,020	*2,915	*83	0.4	*876	129,424
\$250,000 under \$1,000,000	277,107	2,601	35	1.0	*872	142,764
\$1,000,000 under \$5,000,000	159,321	1,387	20	0.9	*471	124,337
\$5,000,000 under \$10,000,000	30,136	*413	*9	1.4	195	39,053
\$10,000,000 under \$50,000,000	31,895	*1,547	*20	4.9	689	105,816
\$50,000,000 under \$100,000,000	6,535	*665	*10	10.4	363	79,832
\$100,000,000 under \$250,000,000	5,669	653	d	11.6	*336	116,341
\$250,000,000 under \$500,000,000	3,091	406	19	13.7	*177	83,216
\$500,000,000 under \$1,000,000,000	2,104	374	18	18.6	*130	105,136
\$1,000,000,000 under \$5,000,000,000	2,439	623	65	28.2	211	460,075
\$5,000,000,000 under \$20,000,000,000	768	313	47	46.9	97	903,962
\$20,000,000,000 or more	410	210	64	66.8	*57	11,049,127
Form 1120-C returns [13]	9,507	d	d	0.2	d	14,013
Form 1120-F returns [14]	19,270	*165	*21	1.0	*85	32,908
Partnership returns [15]	3,763,117	7,201	668	0.2	3,098	N/A
S corporation returns [16]	4,592,042	10,132	238	0.2	3,349	N/A
Estate and trust income tax returns [17]	3,096,382	*496	*206	[8]	135	68,074
Estate tax returns [18]	34,389	*2,774	*0	8.1	*553	1,402,213
Gift tax returns	239,785	1,965	8	0.8	995	389,077
Employment tax returns	31,082,200	45,492	200	0.1	4,158	828,100
Excise tax returns [19]	1,242,800	9,523	10	0.8	*2,387	174,724
Other taxable returns [20]	[6]	*179	*3	[6]	22	10,372
Other nontaxable returns [21]	[6]	294	97	[6]	*87	N/A

Footnotes at end of table.

Table 3-1. Examination Coverage and Recommended Additional Tax After Examination, by Type and Size of Return, Tax Years 2015–2023—Continued

[Money amounts are in thousands of dollars]

Type and size of return	Tax Year 2015					
	All returns filed for Tax Year 2015 [1]	Returns examined			Number of returns examined with no change [5]	Recom- mended additional tax
		Closed [2]	In process [3]	Percentage covered [4]		
	(49)	(50)	(51)	(52)	(53)	(54)
All returns, total	195,729,183	966,177	5,738	[6]	100,423	33,057,181
Individual income tax returns, total	150,675,111	872,542	4,611	0.6	80,821	8,793,687
Size of total positive income [7]:						
No total positive income	694,606	48,369	226	7.0	682	2,140,028
\$1 under \$25,000	54,053,915	357,887	68	0.7	*30,048	1,769,441
\$25,000 under \$50,000	35,552,228	142,152	57	0.4	11,096	787,800
\$50,000 under \$75,000	20,264,175	108,633	66	0.5	*8,244	494,327
\$75,000 under \$100,000	13,055,089	64,676	60	0.5	*6,275	347,334
\$100,000 under \$200,000	19,459,447	*92,958	*253	0.5	11,913	664,374
\$200,000 under \$500,000	5,884,773	32,375	819	0.6	6,274	477,404
\$500,000 under \$1,000,000	1,011,282	11,084	1,204	1.2	2,916	291,151
\$1,000,000 under \$5,000,000	462,824	10,597	1,494	2.6	2,543	674,281
\$5,000,000 under \$10,000,000	33,774	1,518	227	5.2	*357	174,319
\$10,000,000 or more	21,149	1,818	190	9.5	*449	972,671
International returns [9]	181,849	*419	0	0.2	17	554
Returns with earned income tax credit [10]	28,081,708	329,045	d	1.2	30,015	1,580,366
Corporation income tax returns, except Form 1120-S, total [11]	1,626,283	15,395	305	1.0	4,999	21,935,005
Returns other than Forms 1120-C and 1120-F, by size of balance sheet assets:						
No balance sheet	288,630	*1,779	*58	0.6	*261	201,444
\$1 under \$250,000	788,271	*3,073	*72	0.4	*828	122,167
\$250,000 under \$1,000,000	281,342	*2,687	*43	1.0	*853	117,662
\$1,000,000 under \$5,000,000	158,355	*1,231	*22	0.8	352	87,017
\$5,000,000 under \$10,000,000	29,524	339	6	1.2	101	26,391
\$10,000,000 under \$50,000,000	30,944	*1,892	*11	6.1	860	144,348
\$50,000,000 under \$100,000,000	6,433	*930	*9	14.6	*484	160,230
\$100,000,000 under \$250,000,000	5,672	*801	*27	15.0	*393	172,149
\$250,000,000 under \$500,000,000	3,127	*532	*27	17.8	239	109,304
\$500,000,000 under \$1,000,000,000	2,068	431	15	21.6	*138	147,660
\$1,000,000,000 under \$5,000,000,000	2,397	667	47	29.8	191	556,626
\$5,000,000,000 under \$20,000,000,000	770	*296	*46	43.9	*55	1,523,821
\$20,000,000,000 or more	398	240	45	71.6	*42	18,465,652
Form 1120-C returns [13]	9,535	28	d	0.3	5	4,376
Form 1120-F returns [14]	18,817	*311	*14	1.7	*172	96,157
Partnership returns [15]	3,715,187	8,077	322	0.2	3,271	N/A
S corporation returns [16]	4,487,336	9,828	149	0.2	2,756	N/A
Estate and trust income tax returns [17]	3,114,960	771	128	[8]	*122	83,766
Estate tax returns [18]	35,325	2,889	d	8.2	527	684,898
Gift tax returns	242,585	1,426	7	0.6	542	488,231
Employment tax returns	30,590,977	41,926	150	0.1	3,927	849,106
Excise tax returns [19]	1,241,419	12,785	6	1.0	*3,293	215,485
Other taxable returns [20]	[6]	*232	*5	[6]	19	7,003
Other nontaxable returns [21]	[6]	*366	*76	[6]	*141	N/A

Footnotes on next page.

Table 3-1. Examination Coverage and Recommended Additional Tax After Examination, by Type and Size of Return, Tax Years 2015–2023—Continued**Footnotes**

- †—The shaded tax years show returns still within the normal 3-year statute of limitations. Therefore, the percentage covered and recommended additional tax will increase in future years as additional examinations are completed. See Notes for additional details.
- d—Not shown to avoid disclosure of information about specific taxpayers. However, the data are included in the appropriate totals.
- *—Data preceded by an asterisk are values from the prior year Data Book, Table 17. Due to these relatively small changes from year to year, the actual Fiscal Year (FY) 2025 values cannot be shown in order to avoid potential disclosure about specific taxpayers. However, the returns filed counts, percentage covered, and recommended additional tax amounts shown are the actual FY 2025 values.
- N/A—Not applicable.
- [1] The total number of returns filed for each tax year is derived from multiple sources. Therefore, some counts may change year to year while others will not. The return counts for individual, corporation (except for 1120-C), partnership, and gift tax returns are from official published IRS statistics; these counts will not change over time. The return counts for 1120-C, estate and trust income, estate, employment, and excise tax returns are from IRS databases and will be updated each year. These fields include all returns filed for the specified tax year as of December 31, 2025.
- [2] Includes examinations that were closed as of September 30, 2025. During the course of an examination, additional related returns within the statute of limitations may require examination; these related return closures are counted by the appropriate tax year and form type. Represents a distinct count of taxpayers by tax year and form type.
- [3] Includes examinations that are in an open examination status. During the course of an examination, additional related returns within the statute of limitations may require examination; these related return examinations are counted by the appropriate tax year and form type. Represents a distinct count of taxpayers by tax year and form type.
- [4] Represents total returns (closed and in-process) examined for each classification, as a percentage of the total number of returns filed for the tax year for that classification. This percentage may increase in future years as additional returns are selected for examination.
- [5] No-change examinations (cases where no adjustment to tax liability is made) tend to close more quickly than examinations resulting in changes. Therefore, for recent tax years, the percentage of returns with no changes (compared to the total number of examinations closed) may appear higher than returns with no change for past years, and this rate may decrease over time as more examinations are closed.
- [6] Not tabulated.
- [7] Includes all Form 1040 series returns, except 1040-PR and 1040-SS, which are included in international returns (see footnote 9). In general, total positive income (TPI) is the sum of all positive amounts shown for the various sources of income reported on the individual income tax return, and thus excludes losses.
- [8] Less than 0.05%.
- [9] Includes Forms 1040-PR (self-employment income tax return for Puerto Rico residents) and 1040-SS (self-employment income tax return for U.S. Virgin Islands, Guam, American Samoa, and the Northern Mariana Islands residents).
- [10] Includes all returns selected for examination on the basis of an earned income tax credit (EITC) claim. Shown separately for information purposes. Counts are included in the appropriate TPI classes above.
- [11] Includes the Form 1120 series as follows: 1120 (corporation income tax return); 1120-C (income tax return for cooperative associations); 1120-F (foreign corporation income tax return, except foreign life insurance company, foreign property and casualty insurance company, or foreign sales corporation); 1120-H (homeowner association income tax return); 1120-L (life insurance company income tax return); 1120-ND (return for nuclear decommissioning funds); 1120-PC (property and casualty insurance company income tax return); and 1120-SF (income tax return for settlement funds). Excludes counts of examinations for certain other types of corporation returns, which are included in "Other taxable returns," as described in footnote 20.
- [12] Less than \$500.
- [13] Forms 1120-C are filed by cooperative associations.
- [14] Forms 1120-F are filed by foreign corporations with U.S. income, other than foreign life insurance companies (Form 1120-L); foreign property and casualty insurance companies (Form 1120-PC); or foreign sales corporations (Form 1120-FSC).
- [15] Generally, entities filing Form 1065 do not have a tax liability but pass through any profits and losses to the underlying owners, who include these profits and losses on their income tax returns. Under certain conditions, some partnerships are subject to tax, and counts of those examinations are included in "Other taxable returns" in this table, as described in footnote 20.
- [16] Includes most Forms 1120-S, which are filed by qualifying S corporations electing to be taxed through shareholders. Under certain conditions, some S corporations are subject to tax, and counts of those examinations are included in "Other taxable returns" in this table, as described in footnote 20.
- [17] Includes taxable Form 1041 (income tax return for estates and trusts) and Form 1041-N (income tax return for electing Alaska Native Settlement Trusts).
- [18] Includes Form 706 series as follows: 706 (estate and generation-skipping transfer tax return); 706-NA (estate tax return of nonresidents not a citizen of the United States); 706-GS(T) (generation-skipping transfer tax return for terminations); and 706-GS(D) (generation-skipping transfer tax return for distributions). Form 706-GS(T) and Form 706-GS(D) calculations are based on the tax year they are filed and do not include Form 706-GS(D-1).
- [19] Excludes excise tax returns filed with U.S. Customs and Border Protection and the Alcohol and Tobacco Tax and Trade Bureau.
- [20] Includes Forms 1120-FSC (foreign sales corporation income tax return); 1120-S for S corporations reporting a tax; 1120-REIT (real estate investment trust income tax return); 1120-RIC (regulated investment company income tax return); 1065-B for partnerships reporting a tax; 8288 (withholding tax return for disposition by foreign persons of U.S. real property interests); and 8804 (return of withholding tax on foreign partner's share of effectively connected income).
- [21] Includes the following nontaxable returns: Form 1120-IC-DISC (domestic international sales corporation return); Form 1041 (income tax return for estates and trusts); and Form 1066 (real estate mortgage investment conduit income tax return). Under certain circumstances, estates and trusts (Form 1041) are not subject to tax and are reported as nontaxable. See Estate and trust income tax returns for taxable Forms 1041.

NOTES:

Table 3-1 shows examination information for each of the last 9 tax years, 2015–2023. It is presented as a "snapshot" in time of the examination process, and the data will continue to change as open examinations close and new ones are opened. Comparing returns filed and return audits for the same tax year provides the most accurate measure of audit coverage, allowing for a direct and clear picture of IRS activities. Some audits close within a year while others take several. The percentage of audits of returns filed for relatively recent tax years may appear low because as of the end of the fiscal year, relatively few examinations had been opened or closed yet. This reflects the normal timing of the audit process; as new audits of returns filed for recent tax years are opened, audit rates for those years will increase. In contrast, audit rates are less subject to change for returns filed for tax years that are past the normal statute of limitations for assessment. Generally, the assessment statute expiration date is 3 years after the return was due, or 6 years if the income on the return was understated by 25% or more, and there is no statutory limit if a tax return was filed with the intent to commit fraud. Tax Year 2021 is the most recent year outside of the normal statute period. Going forward, the oldest tax year will no longer be updated and will be replaced by the newest full tax year.

All money amounts are in current dollars.

SOURCE: Small Business/Self-Employed, Examination, Performance Planning and Analysis Examination, Small Business Exam Data Management.

Table 3-2. Examination Coverage: Recommended Additional Tax, and Returns with Unagreed Additional Tax, After Examination, by Type and Size of Return, Fiscal Year 2025

[Money amounts are in thousands of dollars]

Type and size of return	Examinations closed in Fiscal Year 2025 [1]			Recommended additional tax		
	Total	Field [2]	Correspondence	Total	Field [2]	Correspondence
	(1)	(2)	(3)	(4)	(5)	(6)
All returns, total	497,621	94,562	403,059	26,828,726	19,099,655	7,729,070
Taxable returns:						
Individual income tax returns, total	441,578	47,811	393,767	11,319,528	3,794,087	7,525,440
Size of total positive income [3]:						
No total positive income	75,392	7,605	67,787	4,048,358	1,098,876	2,949,482
\$1 under \$25,000	131,153	3,537	127,616	1,789,138	97,147	1,691,991
\$25,000 under \$50,000	85,036	3,041	81,995	1,102,064	96,128	1,005,935
\$50,000 under \$75,000	28,591	2,582	26,009	466,855	71,767	395,088
\$75,000 under \$100,000	14,352	1,969	12,383	261,456	67,284	194,173
\$100,000 under \$200,000	23,852	4,607	19,245	597,111	184,885	412,227
\$200,000 under \$500,000	35,021	4,891	30,130	503,866	188,484	315,382
\$500,000 under \$1,000,000	23,004	4,428	18,576	375,623	194,052	181,570
\$1,000,000 under \$5,000,000	14,913	5,672	9,241	659,073	470,727	188,346
\$5,000,000 under \$10,000,000	3,741	3,352	389	355,766	279,789	75,977
\$10,000,000 or more	4,060	3,680	380	1,132,423	1,017,153	115,270
International returns [4]	2,463	2,447	16	27,795	27,795	0
Returns with earned income tax credit [5]	93,857	1,040	92,817	579,635	13,942	565,693
Corporation income tax returns, except Form 1120-S, total [6]	7,495	7,455	40	11,986,555	11,957,321	29,234
Returns other than Forms 1120-C and 1120-F [7]:						
No balance sheet returns	915	d	d	195,049	d	d
Balance sheet returns by size of total assets:						
\$1 under \$250,000	1,411	1,406	5	82,223	82,223	0
\$250,000 under \$1,000,000	1,010	d	d	65,360	d	d
\$1,000,000 under \$5,000,000	572	d	d	56,190	d	d
\$5,000,000 under \$10,000,000	263	263	0	24,223	24,223	0
\$10,000,000 under \$50,000,000	841	836	5	891,346	891,083	263
\$50,000,000 under \$100,000,000	468	d	d	48,605	d	d
\$100,000,000 under \$250,000,000	523	d	d	35,560	d	d
\$250,000,000 under \$500,000,000	169	d	d	27,257	d	d
\$500,000,000 under \$1,000,000,000	189	d	d	73,767	d	d
\$1,000,000,000 under \$5,000,000,000	453	d	d	505,812	d	d
\$5,000,000,000 under \$20,000,000,000	316	307	9	1,330,369	1,313,169	17,200
\$20,000,000,000 or more	281	d	d	8,594,265	d	d
Form 1120-C returns [7]	d	d	0	d	d	0
Form 1120-F returns [7]	d	d	d	d	d	d
Estate and trust income tax returns [8]	414	156	258	141,679	13,048	128,631
Estate tax returns [9]	1,067	1,067	0	1,094,167	1,094,167	0
Gift tax returns	760	760	0	917,098	917,098	0
Employment tax returns	31,268	23,275	7,993	898,935	855,077	43,858
Excise tax returns	7,188	6,946	242	460,936	460,377	559
Other taxable returns [10]	136	24	112	9,827	8,479	1,348
Nontaxable returns [11]:						
Partnership returns	3,141	2,751	390	N/A	N/A	N/A
S corporation returns [12]	4,465	4,265	200	N/A	N/A	N/A
Other nontaxable returns [13]	109	52	57	N/A	N/A	N/A

Footnotes at end of table.

Table 3-2. Examination Coverage: Recommended Additional Tax, and Returns with Unagreed Additional Tax, After Examination, by Type and Size of Return, Fiscal Year 2025—Continued

[Money amounts are in thousands of dollars]

Type and size of return	Taxable return examination closures with unagreed recommended additional tax [1]			Amount unagreed		
	Total	Field [2]	Correspondence	Total	Field [2]	Correspondence
	(7)	(8)	(9)	(10)	(11)	(12)
All returns, total	12,192	7,270	4,922	12,607,113	12,507,596	99,517
Taxable returns:						
Individual income tax returns, total	9,430	4,522	4,908	1,812,349	1,737,141	75,207
Size of total positive income [3]:						
No total positive income	1,389	685	704	303,413	288,734	14,679
\$1 under \$25,000	910	242	668	28,459	22,108	6,351
\$25,000 under \$50,000	868	253	615	27,639	22,390	5,249
\$50,000 under \$75,000	492	208	284	20,020	16,708	3,313
\$75,000 under \$100,000	405	191	214	28,861	26,902	1,959
\$100,000 under \$200,000	979	534	445	50,942	44,627	6,315
\$200,000 under \$500,000	1,540	597	943	88,285	76,015	12,269
\$500,000 under \$1,000,000	1,171	492	679	97,496	83,275	14,220
\$1,000,000 under \$5,000,000	1,087	763	324	267,086	259,598	7,488
\$5,000,000 under \$10,000,000	256	237	19	155,104	151,924	3,179
\$10,000,000 or more	312	299	13	744,815	744,630	185
International returns [4]	21	21	0	230	230	0
Returns with earned income tax credit [5]	819	23	796	6,317	1,226	5,091
Corporation income tax returns, except Form 1120-S, total [6]	743	743	0	8,742,807	8,742,807	0
Returns other than Forms 1120-C and 1120-F [7]:						
No balance sheet returns	78	78	0	35,529	35,529	0
Balance sheet returns by size of total assets:						
\$1 under \$250,000	161	161	0	33,107	33,107	0
\$250,000 under \$1,000,000	127	127	0	20,770	20,770	0
\$1,000,000 under \$5,000,000	102	102	0	33,410	33,410	0
\$5,000,000 under \$10,000,000	43	43	0	19,412	19,412	0
\$10,000,000 under \$50,000,000	53	53	0	12,791	12,791	0
\$50,000,000 under \$100,000,000	14	14	0	15,699	15,699	0
\$100,000,000 under \$250,000,000	19	19	0	9,071	9,071	0
\$250,000,000 under \$500,000,000	10	10	0	9,840	9,840	0
\$500,000,000 under \$1,000,000,000	10	10	0	7,410	7,410	0
\$1,000,000,000 under \$5,000,000,000	31	31	0	273,499	273,499	0
\$5,000,000,000 under \$20,000,000,000	30	30	0	850,217	850,217	0
\$20,000,000,000 or more	55	55	0	7,372,989	7,372,989	0
Form 1120-C returns [7]	d	d	0	d	d	0
Form 1120-F returns [7]	d	d	0	d	d	0
Estate and trust income tax returns [8]	26	12	14	31,755	7,445	24,310
Estate tax returns [9]	36	36	0	891,338	891,338	0
Gift tax returns	44	44	0	799,086	799,086	0
Employment tax returns	1,441	1,441	0	165,381	165,381	0
Excise tax returns	467	467	0	162,992	162,992	0
Other taxable returns [10]	5	5	0	1,406	1,406	0
Nontaxable returns [11]:						
Partnership returns	N/A	N/A	N/A	N/A	N/A	N/A
S corporation returns [12]	N/A	N/A	N/A	N/A	N/A	N/A
Other nontaxable returns [13]	N/A	N/A	N/A	N/A	N/A	N/A

Footnotes on next page.